AAVIN EQUITY PARTNERS II, LP

Financial Package

September 30, 2017

UNAUDITED - INTERNALLY PREPARED

Financials

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AAVIN Equity Partners II, LP
Balance Sheet
As of September 30, 2017

Assets

Loans and Investments: (at cost) (see Supplementary Information)		
Loans (Footnote 2)	$	4,386,151
Equity		3,684,833
		8,070,985
Current Assets:		
Cash		1,593,921
Interest Receivable, net of $60,196 reserve (Footnote 1 & 2)		69,142
		1,663,063
Total Assets	$	9,734,047

Liabilities & Partners' Equity

Current Liabilities:		
Due to Affiliate (Footnote 3)		39,442
		39,442
Total Liabilities		39,442
Partners' Equity (see Supplementary Information)		9,694,606
Total Liabilities & Partners' Equity	$	9,734,047

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AAVIN Equity Partners II, LP
Statement of Operations
For the nine months ended September 30, 2017

Investment Income:	
Interest on Debt Securities (Footnote 1 & 2)	$ 442,107
Prepayment Fee Income	47,402
Total Income	489,509
Operating Expenses:	
Insurance - D&O	4,319
Interest Expense - Line of Credit	3,603
Management Expense (Footnote 3)	278,941
Audit & Tax	10,165
Legal	1,353
Travel	1,052
Appraisal and Investigation Costs	15,051
Dues	330
Total Expenses	314,814
Income (Loss) before Net Realized Gain(Loss) on Investments	174,695
Net Realized Gain(Loss) on Investments	-
Net Income (Loss) Realized from Operations	$ 174,695

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AAVIN Equity Partners II, LP
Statement of Cash Flows
For the nine months ended September 30, 2017

Operating Activities:	
Net Income (Loss)	$174,695
Adjustments to reconcile net cash provided by operations:	
Interest Receivable	(19,346)
Accrued Interest - Line of Credit	(556)
Management Fees Payable	(21,059)
Net cash used by Operating Activities	133,733
Investing Activities:	
Debt investments in small businesses	(816,999)
Equity investments in small businesses	(1,820,500)
Principal payments on debt from small businesses	1,445,189
Net cash used in Investing Activities	(1,192,310)
Financing Activities:	
Draw on Guaranty Line of Credit	(1,401,650)
SERSODCSD 0001 Partner Contributions	3,775,000
Net cash provided by Financing Activities	2,373,350
Net cash increase(decrease) for the period	1,314,773
Cash at beginning of period	279,148
Cash at end of period	$1,593,922

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AAVIN EQUITY PARTNERS II, LP
NOTES TO FINANCIAL STATEMENTS
September 30, 2017

1. Nature of business and significant accounting policies

Organization and nature of business

AAVIN Equity Partners II, LP (the "Partnership") is a limited partnership organized under the laws of the State of Delaware to operate as a mezzanine and private equity fund to provide debt and equity capital to small later stage businesses throughout the United States. The Partnership was formed on November 5, 2014 and commenced operations on January 7, 2015 under the Amended and Restated Agreement of Limited Partnership ("Agreement"). The Partnership consists of one Limited Partner, School Employees' Retirement System of Douglas County School District 0001, and a General Partner, AAVIN II, LLC. The Partnership's fiscal year ends December 31. Significant accounting policies followed by the Partnership are presented below.

Under the Agreement, the Partnership shall continue until the first to occur of the following: (1) withdrawal, dissolution or bankruptcy of the General Partner, or (2) the later of January 7, 2025, subject to four additional one year extensions to such date in the sole discretion of the General Partner or (3) at the election of the General Partner and the Limited Partner.

Basis of accounting

The accompanying financial statements have been prepared on a basis of accounting prescribed by the U.S. Small Business Administration which is a basis of accounting other than accounting principles generally accepted in the United States of America ("U.S. GAAP"). Some of the key considerations are as follows:

Investment securities included in the financial statements have been valued by the General Partner using the valuation criteria established by the SBA. This criteria was established in accordance with Section 310(d)(2) of the Small Business Investment Act of 1958, as amended. The reported value used for equity securities in the Statements of Financial Position (also known as "SBA Guideline Value"), must be determined in accordance with the Partnership's valuation policy. Reported value may differ in certain instances from fair value, which is the measurement of value that would comply with U.S. GAAP.

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1. Nature of business and significant accounting policies, continued

Basis of accounting, continued

FASB ASC 820-10, *Fair Value Measurements*, defines the value in accordance with U.S. GAAP as the "price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date." The primary differences between the two measurements are that in the case of values determined in accordance with SBA Guideline Value (i) an increase in value above cost may only be reflected in reported value if there is a specific permitted basis under the Partnership's valuation policy; (ii) liquidity (or "blockage") discounts, which are prohibited under U.S. GAAP, must be considered for inclusion in reported value; (iii) the reported value of interest-bearing securities is not adjusted for changes in interest rates. It is expected that reported value will not exceed, but may be less than, "fair" value in accordance with U.S. GAAP. The differences between reported values and U.S. GAAP reported fair values may be significant.

There may also be other differences between SBA-basis financial statements and U.S. GAAP-basis financial statements including, but not limited to, the treatment of unrealized gains and losses, and presentation of financial highlights. The General Partner has elected to use the SBA-basis of accounting because all of the partners are also investors in a similar partnership that is a Small Business Investment Company required to use the SBA-basis of accounting and they desire to have comparable financial statements.

Investments

Investment securities of the Partnership are included in the Statements of Financial Position at SBA Guideline Value, as described previously. Investments for which no active public market exists are valued at SBA Guideline Value as determined in good faith by the General Partner and approved by the investment committee of the General Partner, based on all relevant factors. The investments are carried at cost until events subsequent to the date of investment indicate that cost is not the best measure of SBA Guideline Value. If such events have occurred, the value will be determined by taking into consideration the cost of the securities; developments concerning the company to which the securities relate subsequent to the acquisition of the securities; any financial statements and projections of the company provided to the General Partner; and, such other factor or factors as the General Partner may deem relevant. Among the factors considered in determining the reported value of investments will be the cost of the investment; developments subsequent to the acquisition of the investment, including recent financing transactions; the financial condition and operating results of the portfolio investment, market values for similar securities, the long-term potential of the business of the portfolio investment; overall market conditions and other factors generally pertinent to the valuation of investments. As of September 30, 2017, the Partnership had made nine investments, which are all carried at cost, except CPI Luxury Group which has been fully repaid as of June 23, 2017. Management expects to call the remaining capital from the limited partner over the next three to five years and identify additional companies for investments.

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1. Nature of business and significant accounting policies, continued

Investments, continued
In the valuation process, the General Partner uses financial information received monthly, quarterly, and annually from the portfolio companies which will include both audited and unaudited financial statements. This information is used to determine financial condition, performance, and valuation of the portfolio investments.

The value of certain investments may also be adjusted to equate to a subsequent significant equity financing that includes a sophisticated, unrelated new investor. An investment may be valued at less than cost if the investee shows a significant fundamental deterioration in financial position or operating results or has defaulted under the terms of its agreement with the Partnership.

Investments whose values have been estimated by the General Partner, and approved by the investment committee, of $3,684,833 of equity securities and $4,386,151 of secured loans (See Note 2) represent 46% and 54% respectively, of total assets at September 30, 2017. The Partnership has made investments in two new portfolio companies during 2017 and one follow-on.

Use of estimates in preparing financial statements
The preparation of financial statements in conformity with accounting practices prescribed by the SBA requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates. The most significant estimate is the estimate of the SBA guideline value of equity investments, which is subject to significant market risk and could differ materially from actual values realized.

Concentration of credit risk
The Partnership maintains its cash and cash equivalents at one financial institution. The balances are insured by the Federal Deposit Insurance Corporation ("FDIC") up to $250,000. As of September 30, 2017, total uninsured cash balances were approximately $1,343,922. This was due to a capital call received in September 2017.

Cash and cash equivalents
The Partnership considers highly liquid investments with maturities of three months or less when purchased to be cash equivalents.

Partners' capital – distributions and allocation of gain and loss
Capital contributions are credited to the partners' capital accounts when received by the Partnership. Capital distributions are debited to the partners' capital accounts when paid. Income and losses are allocated to the partners' accounts in accordance with the Agreement as described below.

1. Nature of business and significant accounting policies, continued

Partners' capital – distributions and allocation of gain and loss, continued
Distributions to partners are generally made (i) first, to the partners in proportion to their unreturned capital contributions until they have received distributions equal to their capital contributions with respect to all realized investments and the pro rata expenses of the Partnership with respect to all realized investments; (ii) second, to the partners until they have received distributions equal to and in proportion to the outstanding unpaid preferred return of 8% per annum, compounded annually on unreturned capital contributions of each partner, and (iii) thereafter 90% to the partners in proportion to their respective capital contributions and 10% to the General Partner.

Net profits and net losses of the Partnership will be allocated to the partners' respective capital accounts in a manner consistent with distributions.

Revenue recognition
Interest income is recorded on the accrual basis. When in the judgement of management, the collectability of such income is doubtful, a reserve for loss account is established to the extent there is doubt as to the collection of the amounts accrued. The Partnership recorded reserves as a reduction of interest income totaling $60,196 as of September 30, 2017. Dividend income is recognized on the date the dividend is declared and payable.

Amounts reported as realized gains or losses on investments will be measured by the difference between the net proceeds of sale or write-off and the cost basis of the investment on the specific identification method, without regard to unrealized gains and losses. The cost of securities that have, in the General Partner's judgment, become worthless, are written off and reported as realized losses.

Unrealized appreciation of investments
Unrealized gains (losses) on securities held result from the valuation of investments by the General Partner. Unrealized appreciation is recognized for valuations above cost and unrealized depreciation is recognized for valuations below cost. Unrealized gains or losses are the aggregate amounts obtained by summing the unrealized appreciation or depreciation of all investments, net of any estimated future income tax effects. Such changes are recorded directly in the partners' capital account, unrealized appreciation of investments, in the Statements of Financial Position.

Income taxes
The Partnership, with the consent of its partners, has elected to be taxed under sections of the federal and state income tax law as a Partnership. No income taxes are paid by the Partnership, as a result of this election. Instead, the partners separately pay tax on their pro rata allocation of the Partnership's income, deductions, losses and credits.

2. Loans

Subordinated secured loans are included with investments in the statements of financial position and consist of the following as of September 30, 2017:

Company	Date of Advance	Principal Advanced	Loan Terms	2017
B12 Transportation Group, LLC	12/7/2015	332,393	Note accrues interest payable monthly on the principal balance at a rate of 11% per annum. Rate will increase to 12% on 12/7/16, 13% on 12/7/17, and 14% on 12/7/18. Principal balance is due at maturity on 12/7/20.	$ 332,393
Montana SilverSmiths Holdings, LLC	10/28/2016	505,750	Note accrues interest payable monthly on the principal balance at a rate of 13% per annum. Additional, payment-in-kind ("PIK") interest compounded monthly at a rate of 4% and added to principal balance. Principal balance is due at maturity on 10/27/21.	505,750
Odessa AIM Holdings, Inc.	8/31/2016	1,069,439	Note accrues interest payable monthly at a rate of 14% per annum until maturity on 8/31/21.	1,069,439
SPI Acquisition Holdings, Inc.	12/28/2016	840,990	Note accrues interest payable monthly on the principal balance at a rate of 12% per annum. Additional, PIK interest compounded monthly at a rate of 1% and added to principal balance. Principal balance is due at maturity on 12/28/21.	840,990
Transfer Tool Holdings, LLC	8/10/2015, 11/4/16, 4/14/17	435,066	Note accrues interest payable monthly at a rate of 14% per annum until maturity on 8/10/20.	496,281
Verrex, LLC	7/21/2016	361,298	Note accrues interest payable monthly on the principal balance at a rate of 14% per annum until maturity on 7/21/21.	361,298
WSC Holdco Inc.	3/10/2017	780,000	Note accrues interest payable monthly on the principal balance at a rate of 14% per annum until maturity on 3/11/22.	780,000
			Total Subordinated Secured Loans	$ 4,386,151

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2. Loans, continued

Interest income earned on loans detailed above was $442,107 for the nine months ended September 30, 2017. The Partnership had accrued interest receivable of $129,338 (net of reserve of $60,196) at September 30, 2017.

The above loans are secured by substantially all the assets of the respective companies. The Partnership's claim is subordinate to the respective companies' bank debt. Loan balances are included in the cost of investments on the balance sheet (see Note 1, Investments).

3. Management agreement and related party transactions

The General Partner has contracted with AAVIN Equity Advisors, LLC ("AAVIN") to manage the Partnership's activities. Under the terms of the Management Agreement ("agreement"), AAVIN provides essentially all the management and administrative services required by the Partnership. The Management Agreement expires upon termination of the Partnership.

The Partnership pays an annual management fee, computed on a daily basis, equal to 2% of the management fee base. Management fee base is the aggregate commitments of the limited partner during the management fee period and after the management fee period; the management fee base is the cost basis of the Partnership's portfolio securities in active portfolio companies. The management fee period commences on the commencement date and ends on the earlier of six years after the commencement date or the initial closing of a successor fund.

To the extent AAVIN receives any financing fees, management fees, director and/or transaction fees from a portfolio company (other than investment banking fees), all such fees shall reduce management compensation. During the nine months ended September 30, 2017, $39,005 of these fees were generated related to the closing of two investments. Pursuant to the Management Agreement, other fees received by the General Partner or AAVIN from any portfolio company reduce eligible management fees as well. Other fees received for the nine months ended September 30, 2017 were $59,804. Total offsetting fees to management fees for the nine months ended September 30, 2017, $98,809.

For the nine months ended September 30, 2017, management fees to AAVIN totaled $278,941 (net of $98,809 in fees). Accrued management fees of $39,442 were payable to AAVIN at September 30, 2017.

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3. Management agreement and related party transactions, continued

The General Partner may elect to reduce up to 100% of management compensation that would be payable in order to satisfy the 1% capital contribution of the General Partner. The General Partner's total committed capital at September 30, 2017, was $252,525 with contributions to date totaling $101,229. Management fees waived to reduce contributions totaled $38,131 for the and nine months ended September 30, 2017. Management fees totaling $101,299 have been waived since the Partnership commenced operations.

4. Note payable

The Partnership has a revolving credit agreement with a bank that expires on March 2, 2018, which authorizes maximum borrowings of $2,000,000. As of September 30, 2017, advances bear interest at the Wall Street Prime rate of 4.25% and a margin of 0%. The Partnership had a $0 outstanding balance as of September 30, 2017, under this agreement. Interest expense for nine months ended September 30, 2017, under this agreement was $3,603.

5. Partner capital commitments, contributions and unfunded commitments

At the inception of the Partnership, the partners entered into subscription agreements obligating the partners to purchase a partnership interest equal to an agreed upon amount of future total commitments. As of September 30, 2017, the amounts of contributions to date and remaining unfunded commitments are summarized as follows:

	September 30, 2017		
	General Partner	Limited Partner	Total
Commitments	$ 252,500	$ 25,000,000	$ 25,252,500
Contributions to Date	101,299	10,028,649	10,129,948
Unfunded Commitments	$ 151,201	$ 14,971,351	$ 15,122,552

Unfunded commitments are expected to be called over the next three to five years.

6. Preferred return on unreturned capital contribution

The limited partnership agreement provides for a preferred return of 8% per annum, compounded annually, on unreturned capital contributions of the limited partner (see Note 1 – Partners Capital). The accumulated preferred return on unreturned capital contributions of the limited partner as of September 30, 2017, totals $810,401. This is a memorandum account only and is being tracked for future distribution waterfalls.

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SUPPLEMENTARY INFORMATION

AAVIN EQUITY PARTNERS II, LP
SCHEDULE OF INVESTMENTS
September 30, 2017

Company	Security	SBA Guideline Value	Cost
Construction:			
WSC Holdco, Inc. (aka Weeks Service Company)	11,495 common shares	$ 520,000	$ 520,000
Heating & Air-Conditioning Contractor			
League City, TX	Secured subordinated note accruing interest at 14% through maturity on March 11, 2022.	780,000	780,000
		1,300,000	1,300,000
Information Services:			
Verrex, LLC	2,167.78 Class A units	216,778	$ 216,778
Information Services	Secured subordinated note accruing interest at 14% through maturity on July 21,		
Mountainside, NH	2021	361,298	361,298
		578,076	578,076
Manufacturing:			
B12 Transportation Group, LLC	332,393 common units	332	332
Motor Vehicle Body Manufacturing	332,393 preferred units	332,393	332,393
Lawrence, KS	Secured subordinated note accruing interest at:		
	11% through December 6, 2016;		
	12% through December 6, 2017;		
	13% through December 6, 2018;		
	and 14% through maturity on December 7, 2020	332,393	332,393
		665,118	665,118
Green Diamond Performance Materials, Inc.	1,798.45 9% participating preferred shares @ $723.05/share	1,300,500	1,300,500
Abrasive Products Manufacturing			
Riddle, OR		1,300,500	1,300,500

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AAVIN EQUITY PARTNERS II, LP
SCHEDULE OF INVESTMENTS, Continued
As of September 30, 2017

Company	Security	SBA Guideline Value	Cost
Montana SilverSmiths Holdings, LLC	2,167.50 Class A shares	216,750	216,750
Jewelry and Silverware Manufacturing	Secured subordinated note accruing interest at 13% with additional PIK interest		
Columbus, MT	compounded monthly at 4% and added to principal balance. Principal due at		
	maturity on October 27, 2021.	505,750	505,750
		722,500	722,500
Odessa AIM Holdings, Inc.	130 common units	2,312	2,312
Machine Shop	228,920 preferred units	228,920	228,920
Odessa, TX	Secured subordinated note accruing interest at 14% through maturity on		
	August 31, 2021	1,069,439	1,069,439
		1,300,671	1,300,671
SPI Acquisition Holdings Inc.	560.66 preferred shares	560,660	560,660
Other Concrete Manufacturing	Secured subordinated note accruing interest at 12% with additional PIK interest		
Jacksonville, FL	compounded monthly at 1% and added to principal balance. Principal due at		
	maturity on December 28, 2021.	840,990	840,990
		1,401,650	1,401,650
Transfer Tool Holdings, LLC	290,044 units	306,188	306,188
Metal Stamping Manufacturing	Secured subordinated notes accruing interest at 14% through maturities on		
Grand Haven, MI	August 10, 2020	496,281	496,281
		802,469	802,469
	Total Manufacturing	6,192,908	6,192,908
	Grand Total	$ 8,070,984	$ 8,070,984

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AAVIN EQUITY PARTNERS II, LP
CUMULATIVE SCHEDULE OF PARTNERS' CAPITAL
September 30, 2017

	Subscription Amount	Capital Contributions	Retained Deficit	Net Partner Capital
Limited Partner				
School Employees' Retirement System of Douglas County School District 0001	$ 25,000,000	$ 10,028,649	$ (430,989)	$ 9,597,660
General Partner				
AAVIN II LLC	252,525	101,299	(4,353)	96,946
Total	$ 25,252,525	$ 10,129,948	$ (457,832)	$ 9,694,606

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